SECTION B – WRITTEN QUESTIONS (TOTAL: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (30 marks – approximately 54 minutes)

SMART Limited ("SMART") is a start-up business incorporated in January 2021. SMART is a Hong Kong-based technology company with a core focus on delivering high quality IT services. SMART earns project service revenue as well as IT support and maintenance service. Customers have to prepay an annual service fee for the IT support and maintenance service.

SMART has five employees who are paid on fixed monthly salaries and commissions. The commission for each employee depends on the total fees of the projects the employee is involved in and the contract terms in the individual's employment contract. Service is provided to local customers and overseas customers. All transactions are settled via internet funds transfers in the customers' home currency.

The head office of SMART is located in Central under a three-year rental contract that started on 1 January 2021. The director of SMART approached ABC & Co, an audit firm, to act as the auditor of SMART for the first-year audit for the year ended 31 December 2021.

Required:

(a) **List the client screening process procedures to be performed by ABC & Co before the acceptance of the new client, SMART.**

(9 marks)

(b) **Understanding of the business operations of SMART is essential for performing an efficient and effective audit.**

Explain the key matters of SMART's business operations that are relevant to the auditor.

(7 marks)

(c) **Determine and explain the appropriateness of substantive approach for the audit of salaries and commissions expenses.**

(3 marks)

(d) **State and explain the FOUR assertions for the audit of salaries and commissions expenses.**

(4 marks)

(e) **List the possible audit procedures for the audit of salaries and commissions expenses if a substantive approach is adopted.**

(7 marks)

<u>Question 2</u> **(20 marks – approximately 36 minutes)**

Spirit Health Limited ("SHL") is a private company with ten shareholders engaging in providing yoga courses and selling yoga products in five centres located in different districts in Hong Kong. Several centres are located at properties owned by one of the major shareholders of SHL. Students have to pay course fees in advance.

SHL employs 20 administrative staff with fixed monthly salaries. SHL employs around 40 full-time coaches and many part-time coaches to conduct the yoga courses. Full-time coaches are remunerated on a fixed monthly salary basis. Part-time coaches are remunerated on an hourly basis. The monthly salary for full-time coaches and the hourly rate for part-time coaches varies with their experience. In addition, SHL has a sales team of ten staff members, with their remuneration consisting of a fixed salary and commission.

SHL maintained a computer system with software provided by a third party for course registration and redemption of lessons. A new accounting system was introduced in the year 2021 to generate more useful financial reports. To improve the efficiency of the operation, SHL started an in-house software development project in early 2021.

SHL has applied to the bank for a HK$10 million loan for further expansion of the business due to more and more customers joining their yoga courses recently. The bank wishes to receive the audited financial statements before any decision is made, and the director of SHL, John Chan, has requested audited financial statements to be available by the end of January 2022. The financial year end date is 31 December.

APE & Co is the existing external auditor of SHL. John approached the engagement partner, Jody Wong, on 20 November 2021 to discuss the audit engagement.

<u>Required:</u>

(a) **The audit manager identified the following issue and the related potential risk of material misstatement:**

Issue: Payment of fixed monthly salary and hourly salary for coaches of SHL. In addition, the salary for each staff member of the sales team consists of a fixed monthly salary and commission.

Salary for coaches and the sales team staff is a significant class of transactions. There is a risk that the salaries, especially the salaries for part-time coaches and the commission for the sales team staff, are not accurately calculated. For the salary of part-time coaches, there is risk of fictitious coaches included.

You are the audit senior in charge, identify FOUR other issues. For each issue, identify the potential risks of material misstatement for the audit of the financial statements.

(8 marks)

(b) **For each of the issues you identified in part (a), determine the appropriate audit responses.**

(4 marks)

(c) **List the possible substantive audit procedures for the intangible asset (in-house development of software).**

(8 marks)

Question 3 **(15 marks – approximately 27 minutes)**

You are the audit manager of a listed company. Your team has recruited a new staff member who is a non-accounting graduate. The new staff member attended the training programme of your company and learnt that external auditors have to communicate with the audit committee and with internal auditors of the audit clients in order to perform the external audit in an effective and efficient manner. The new staff member is very keen to learn more and has a few issues she would like clarified.

Required:

(a) **Define internal audit function.**

(3 marks)

(b) **Explain how the external auditor can use the work of the internal auditor during the evidence gathering process in accordance with the Hong Kong Standard on Auditing 610 (Revised 2013) *Using the Work of Internal Auditors*.**

(4 marks)

(c) **The audit committee works with the external auditors in overseeing their work as well as with the internal auditors in overseeing the internal audit function of corporate governance.**

List and briefly explain FOUR major categories of oversight responsibilities of the audit committee.

(8 marks)

<u>Question 4</u> **(15 marks – approximately 27 minutes)**

Advance Technology Limited ("ATL") is engaged in the retail of computers and computer accessories.

The company had its own warehouse and more than twenty retail shops in Hong Kong. In 2020, ATL sold all these properties to Property Investment Limited ("PIL") and had a lease back contract with PIL for all the properties for three years at a market rental rate. ATL treated the rental payment as an expense without recording the lease liability in accordance with Hong Kong Financial Reporting Standard 16 *Leases*.

The auditors discussed the above with the management of ATL and suggested ATL revise the financial statements. The management did not agree to revise the financial statements.

<u>Required:</u>

(a) **Briefly explain unmodified auditor's opinion.**

(2 marks)

(b) **List TEN basic elements of an unmodified auditor's report on the consolidated financial statements of a company listed in Hong Kong.**

(5 marks)

(c) **List FOUR modified auditor's opinion situations and the relevant types of modified auditor's opinions for each situation.**

(4 marks)

(d) **For this part only, assume that the effect of misstatement of lease liability is material but not pervasive and that there are no other misstatements that are individually or in aggregate material found in the audit of the financial statements. State the type of auditor's opinion and the descriptions that would be included in the Basis for Opinion section in the auditor's report.**

(4 marks)

* * * END OF EXAMINATION PAPER * * *